

Weekly: Earnings Week 8 MU & CBRS Preview

Raising Micron numbers again as shortages continue to intensify; higher capex and limited LTA disclosure shouldn't hold the story back. Separately we see CBRS posting in line #s for its first public qtr, with visibility into the coming ramp.

CBRS (OW, reporting after the market close on Tuesday, June 23rd): CBRS will report its first quarter as a public company, and while we are not expecting a major surprise, we remain constructive on what we view as a differentiated architecture with significant upside. With large take or pay agreements already in place, the near term story remains centered on execution rather than demand. We continue to view the pace of capacity deployment as the key driver of revenue and gross margin upside, and remain focused on management's progress toward bringing the initial 250MW tranche online, which we currently expect by mid 2027. Longer term, the more important question is whether the Wafer Scale Engine proves to be a durable competitive advantage. The company will need to demonstrate that the technology delivers meaningful value to customers and can scale economically. For now, however, we believe the investment debate is primarily about execution, and we remain constructive.

We model core revenue of \$180 million and core gross margin of 44% for the March quarter, in line with consensus expectations. Looking ahead, we expect core revenue to remain roughly flat in the June quarter while core gross margin declines to 24%, driven by G42 rent back arrangements that support the initial capacity ramp. We expect these arrangements to remain a drag on cloud margins until roughly mid 2027. On a GAAP basis, we forecast revenue of \$182 million in March and \$153 million in June, with the difference between GAAP versus core revenue reflecting mostly warrant related contra revenue. While we think the compute ramp may be somewhat messy near term, with pressure on margins and warrant related costs, we believe these headwinds are well understood by investors. Ultimately, what we are playing for is a differentiated architecture with leadership in one of the fastest growing segments of AI infrastructure, where successful execution could unlock significant upside beyond current expectations.

MU (OW, reporting after market closes on Wednesday, June 24th): Raising numbers again as demand continues to outstrip supply in memory and especially in DRAM, incremental commentary on SCAs (strategic customer agreements) a key focus. Micron's initial guidance for May was revenue growth of 40% q/q, implying ASP increases in both DRAM/NAND of 30-35% or so q/q. Micron has since said conditions are trending better but has not provided a numerical update for investors. We model DRAM ASP's up 45% vs 40% prior, and NAND up 50% vs 35% prior, with third party forecasts calling for ~60% increases in C2Q for DRAM and ~75% for NAND; we don't expect that to come as a surprise to investors. Our

MORGAN STANLEY & CO. LLC		
Joseph Moore		
Equity Analyst		
Joseph.Moore@morganstanley.com		+1 212 761-7516
Ella Tulchinsky		
Research Associate		
Ella.Tulchinsky@morganstanley.com		+1 212 761-2222
Nicole Kozhukhov		
Research Associate		
Nicole.Kozhukhov@morganstanley.com		+1 212 761-1636
Mason Wayne		
Research Associate		
Mason.Wayne@morganstanley.com		+1 212 761-6012
Shane Brett		
Equity Analyst		
Shane.Brett@morganstanley.com		+1 212 761-1022

SEMICONDUCTORS	
North America	
Industry View	Attractive

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

resulting EPS of \$21.31 compares to consensus at \$20.57. For August we expect pricing up in the 20% range for both DRAM and NAND, with an upward bias to that number as our checks continue to point to very strong market conditions, although negotiations have not yet concluded and but we would expect Micron to remain conservative at the outset.

More important than strong results will be proofpoints on the durability of the current cycle, especially in light of downward LPDDR content adjustments for Rubin. To us that comes back to what are always the two key memory variables, demand and supply. On the demand side the company is unlikely to comment specifically on Rubin, but will likely emphasize that customers in all markets are being forced to make difficult decisions with regards to their volumes and content; to us that's a sign of an enduring shortage and think management at MU will make a similar case. As far as supply, the Tongluo acquisition from PSMC (covered by Daniel Yen) may start to see WFE deliveries quicker than initial expectations, putting an upward bias on current FY capex vs guidance for "above \$25bn" - we raise Aug quarter from \$8bn to \$10bn (FY from \$25bn to \$27bn). Supply growth in DRAM overall continues to come in above out expectations, and will accelerate next year given capital spending this year. But the levels are still much lower than headline WFE would suggest, with construction timelines, HBM trade ratio inputs, and lower node migration efficiency continuing to limit the speed of the supply response and we continue to see q/q bit shipment increases still in the mid single digits vs demand that seems to grow much faster.

What about LTAs? A quarter ago Micron disclosed signing a five year SCA (strategic customer agreement), but with limited information on the terms and sizing of relevant financial commitments. We think Micron may announce the closing of additional deals, but wouldn't necessarily expect more clarity on the terms - as they are likely in conversations with multiple customers and don't want to tip their hand. We think these deals are important for market sentiment around the case for further multiple expansion, and the stock may go down if there's limited new information. But in that we would be looking to add to positions as new disclosures don't change what we know - which is that customers see DRAM as increasingly tight over a multiyear time horizon – something not priced in at 9.3x our new FY27 EPS, in our view.

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
-----------	--------------------	---------------------------------

Cerebras Systems CBRS.O

Core Revenue — In-line — Largely unchanged

- While we are not expecting significant upside, we remain constructive on what we view as a differentiated architecture with significant upside.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Cerebras Earnings Preview

The company is scheduled to report after the market close on Tuesday, June 23rd.

CBRS will report its first quarter as a public company, and while we are not expecting a major surprise, we remain constructive on what we view as a differentiated architecture with significant upside. With large take or pay agreements already in place, the near term story remains centered on execution rather than demand. We continue to view the pace of capacity deployment as the key driver of revenue and gross margin upside, and remain focused on management's progress toward bringing the initial 250MW tranche online, which we currently expect by mid 2027. Longer term, the more important question is whether the Wafer Scale Engine proves to be a durable competitive advantage. The company will need to demonstrate that the technology delivers meaningful value to customers and can scale economically. For now, however, we believe the investment debate is primarily about execution, and we remain constructive.

We model core revenue of \$180 million and core gross margin of 44% for the March quarter, in line with consensus expectations. Looking ahead, we expect core revenue to remain roughly flat in the June quarter while core gross margin declines to 24%, driven by G42 rent back arrangements that support the initial capacity ramp. We expect these arrangements to remain a drag on cloud margins until roughly mid 2027. On a GAAP basis, we forecast revenue of \$182 million in March and \$153 million in June, with the difference between GAAP versus core revenue reflecting mostly warrant related contra revenue. While we think the compute ramp may be somewhat messy near term, with pressure on margins and warrant related costs, we believe these headwinds are well understood by investors. Ultimately, what we are playing for is a differentiated architecture with leadership in one of the fastest growing segments of AI infrastructure, where successful execution could unlock significant upside beyond current expectations.

Exhibit 1: CBRS: MS estimates

MS Estimates

<i>Figures in \$ MM</i>				
	F1Q26E	F2Q26E	FY26E	FY27E
Core Rev	180.4	180.2	831.4	2,694.8
Q/Q Change	5.2%	-0.2%		
GAAP Rev	182.8	153.0	792.4	3,174.3
Q/Q Change	6.6%	-16.3%		
Core GM	43.8%	24.2%	29.5%	51.1%
Non-GAAP EPS	\$ (0.21)	\$ (0.40)	\$ (1.22)	\$ 0.88

Source: Morgan Stanley Research

Micron Earnings Preview

The company is scheduled to report after the market close on Wednesday, June 24th.

Raising numbers again as demand continues to outstrip supply in memory and especially in DRAM, incremental commentary on SCAs (strategic customer agreements) a key focus. Micron's initial guidance for May was revenue growth of 40% q/q, implying ASP increases in both DRAM/NAND of 30-35% or so q/q. Micron has since said conditions are trending better but has not provided a numerical update for investors. We model DRAM ASP's up 45% vs 40% prior, and NAND up 50% vs 35% prior, with third party forecasts calling for ~60% increases in C2Q for DRAM and ~75% for NAND for we don't expect that to come as a surprise for investors. Our resulting EPS of \$21.31 compares to consensus at \$20.57. For August we expect pricing up in the 20% range for both DRAM and NAND, with an upward bias to that number as our checks continue to point to very strong market conditions, although negotiations have not yet concluded and but we would expect Micron to remain conservative at the outset.

More important than strong results will be proofpoints on the durability of the current cycle, especially in light of downward LPDDR content adjustments for Rubin. To us that comes back to what are always the two key memory variables, demand and supply. On the demand side, the company is unlikely to comment specifically on Rubin, but will likely emphasize that customers in all markets are being forced to make difficult decisions with regards to their volumes and content; to us that's a sign of an enduring shortage and think management at MU will make a similar case. As far as supply, the Tongluo acquisition from PSMC (covered by Daniel Yen) may start to see WFE deliveries quicker than initial expectations, putting an upward bias on current FY capex vs guidance for "above \$25bn" - we raise Aug quarter from \$8bn to \$10bn (FY from \$25bn to \$27bn). Supply growth in DRAM overall continues to come in above our expectations, and will accelerate next year given capital spending this year. But the levels are still much lower than headline WFE would suggest, with construction timelines, HBM trade ratio inputs, and lower node migration efficiency continuing to limit the speed of the supply response and we continue to see q/q bit shipment increases still in the mid single digits vs demand that seems to grow much faster.

What about LTAs? A quarter ago Micron disclosed signing a five year SCA (strategic customer agreement), but with limited information on the terms and sizing of relevant financial commitments. We think Micron may announce the closing of additional deals, but wouldn't necessarily expect more clarity on the terms - as they are likely in conversations with multiple customers and don't want to tip their hand. We think these deals are important for market sentiment around the case for further multiple expansion, and the stock may go down if there's limited new information. But in that we would be looking to add to positions as new disclosures don't change what we know - which is that customers see DRAM as increasingly tight over a multiyear time horizon - something not priced in at 9.3x our new FY27 EPS, in our view.

Details on the May quarter: We model revenue of \$36.454bn (up 52.8% q/q and 291.9% y/y), above the Street at \$35.555bn. By segment, we model DRAM sequential bit shipments to increase 5.0% q/q and average selling prices to increase 45.0%; and NAND sequential bit shipments to rise 4.0%, with prices up 50.0%. Our gross margin estimate of

83.1% is above the Street at 81.7%, and our EPS estimate of \$21.31 is above the Street at \$20.57.

Outlook on August quarter: We model revenue of \$43.328bn (up 18.9% q/q and 282.9% y/y), ahead of the Street at \$42.688bn. By segment, we forecast DRAM sequential bit shipments to increase by 2.0%, and prices up 15.0%; and NAND bit shipments to increase 4.0%, with prices increasing by 20.0%. We forecast gross margin to come in at 85.1%, ahead of the street at 82.3%, and our EPS estimate of \$26.01 is also ahead of the Street at \$25.00.

Exhibit 2: MU: MS vs. Cons

MS vs. Consensus

	F3Q26E		F4Q26E		CY2026E		CY2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revenues	36,454	35,555	43,328	42,688	151,954	141,640	220,827	202,654
Q/Q Change	52.8%	49.0%	18.9%	20.1%				
GMs	83.1%	81.7%	85.1%	82.3%	83.3%	79.5%	86.4%	78.3%
EPS	\$ 21.31	\$ 20.57	\$ 26.01	\$ 25.00	\$ 86.99	\$ 80.46	\$ 128.04	\$ 116.57

Source: FactSet, Morgan Stanley Research estimates

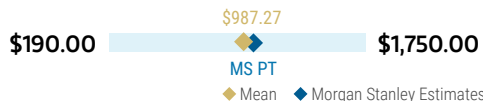
Risk Reward – Micron Technology Inc. (MU.O)

See multiple quarters of upward revisions, with AI driving a higher multiple

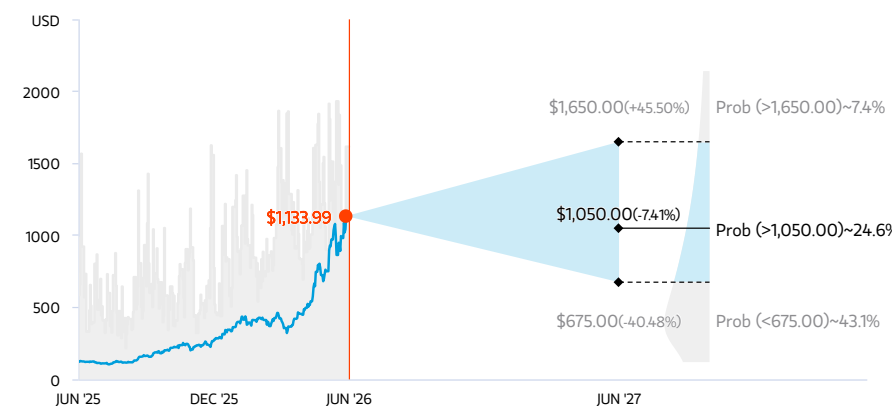
PRICE TARGET \$1,050.00

~29.5x through-cycle earnings of US \$35.00, a premium to history reflecting new opportunities in AI, in-line with broader semis.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

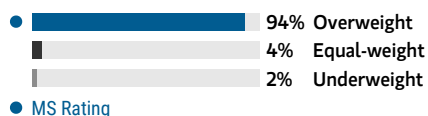


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 18 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- DRAM fundamentals are in uncharted territory, and should continue to improve as datacenter/AI markets continue their upward trajectory
- Execution on AI is underappreciated, and we expect Micron to maintain HBM share in CY26 vs the competition. Supporting margins and driving a higher multiple than prior cycles
- Cycle longevity will be key, and S/D may stay tight for 2-3 more years

Consensus Rating Distribution



Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$1,650.00

33x through-cycle earnings of US\$50

Gross margin improvement continues, driven by scale, AI mix, and cost improvements in new products. Pricing pressure alleviates as demand sustainably moves above supply driven by HBM's wafer intensity, a product category where MU cements performance leadership on future products.

BASE CASE

\$1,050.00

~29.5x through-cycle earnings of US\$35

Our through-cycle earnings estimate of US\$35.00 is a small premium to our new FY21-FY28 average (\$34) as we continue to assume peaks and valleys in earnings over time. Our 29.5x multiple reflects the market's enthusiasm for the AI opportunity, and at the midpoint of the semis group

BEAR CASE

\$675.00

27x through-cycle earnings of US\$25.00

Memory begins to enter a downturn in early 2027. As the strength attributed to demand in the early part of the year ended up being inventory build at customers. Multiple compresses severely after an underwhelming peak

Risk Reward – Micron Technology Inc. (MU.O)

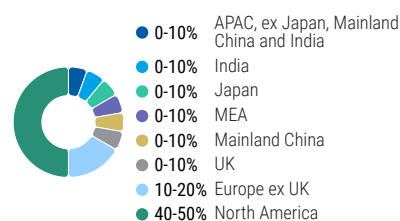
KEY EARNINGS INPUTS

Drivers	Oct 2025	Oct 2026e	Oct 2027e	Oct 2028e
GAAP Revenue (\$, mm)	37,378	117,286	211,737	191,967
Non Gaap Gross Margin (%)	40.9	79.1	86.3	81.8
Non-GAAP EPS (\$)	8.29	64.37	122.05	105.91
Inventory (\$, mm)	8,355	8,564	10,152	12,393
DOI	133.7	123.5	124.2	126.2

INVESTMENT DRIVERS

- Improved pricing and demand strength drive earnings growth

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Customers continue to demonstrate an appetite to take on inventory around macroeconomic uncertainty
- Additional wafer intensity of HBM further improves overall supply and demand
- Micron's HBM share surpasses expectations

RISKS TO DOWNSIDE

- Pricing can turn quickly; a falter in end demand with inventories elevated could lead to a swift price reduction
- HBM demand falters and competition intensifies, pressuring pricing

OWNERSHIP POSITIONING

Inst. Owners, % Active	46.5%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Oct 2026e

Sales / Revenue (\$, mm)	81,813	117,286	131,803
		112,726	

EBITDA (\$, mm)	58,763	95,908	110,773
		90,997	

Net income (\$, mm)	44,520	74,091	86,393
		68,921	

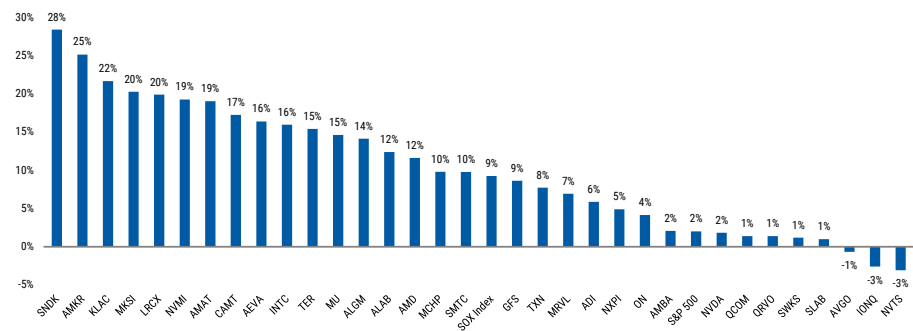
EPS (\$)	37.54	64.37	75.00
		60.09	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

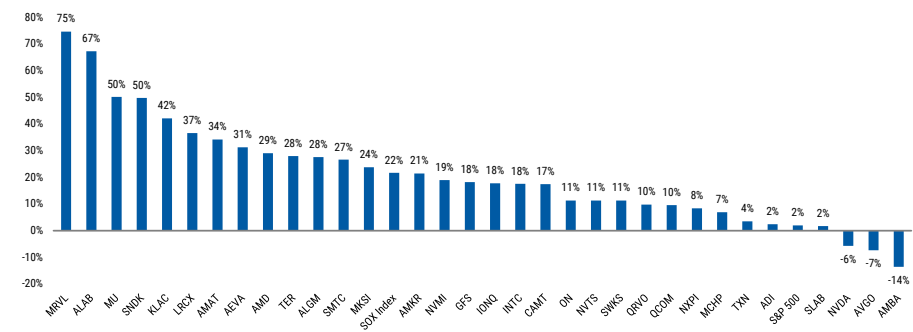
Semiconductor Coverage – Valuation / Stock Performance

Exhibit 3: Weekly stock performance



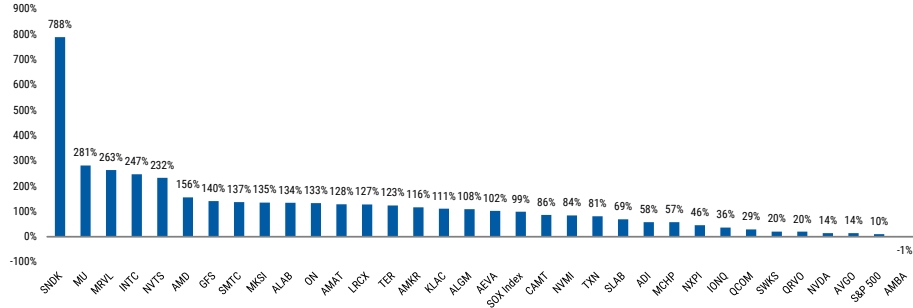
Source: FactSet, Morgan Stanley Research

Exhibit 4: Monthly stock performance



Source: FactSet, Morgan Stanley Research

Exhibit 5: YTD stock performance



Source: FactSet, Morgan Stanley Research

Semis Week Ahead

Exhibit 6: June 22nd - June 26th, 2026

Monday, June 15th

Tuesday, June 16th

Wednesday, June 17th

Thursday, June 18th

Friday, June 19th

LOOKING AHEAD

Wednesday, June 24th

QCOM Investor Day

MU Earnings

4:30pm ET

Thursday, June 25th

Renesas Capital Markets Day

Thursday, July 23rd

AMD Advancing AI

<https://www.youtube.com/@AMD/streams>

Wednesday, September 16th

ON Financial Analyst Day

2:00pm ET

Source: Bloomberg, Refinitiv, Morgan Stanley Research

Semiconductor Coverage

Exhibit 7: Semiconductors - Risk Reward

Ticker	Rating	Price	Risk-Reward			% Upside / Downside
			Bear	Base	Bull	Base
<u>Computing</u>						
AMD	EW	\$547.3	\$210	\$410	\$570	-25%
INTC	EW	\$127.9	\$43	\$73	\$110	-43%
NVDA	OW	\$212.5	\$160	\$288	\$330	36%
<u>Memory</u>						
MU	OW	\$1,088.0	\$675	\$1,050	\$1,650	-3%
SNDK	OW	\$2,107.9	\$1,100	\$1,750	\$2,635	-17%
<u>Capital Equipment</u>						
AMAT	EW	\$585.8	\$330	\$502	\$693	-14%
CAMT	EW	\$197.8	\$118	\$163	\$214	-18%
KLAC	OW	\$256.4	\$136	\$190	\$233	-26%
LRCX	OW	\$388.9	\$219	\$331	\$436	-15%
MKSI	OW	\$375.3	\$234	\$374	\$506	0%
NVMI	EW	\$605.7	\$366	\$494	\$643	-18%
TER	EW	\$432.4	\$267	\$387	\$512	-11%
<u>Comm-IC / Multi-Market</u>						
ALAB	OW	\$389.2	\$121	\$240	\$332	-38%
AMBA	OW	\$70.1	\$34	\$96	\$136	37%
AVGO	OW	\$393.9	\$308	\$502	\$637	27%
MRVL	EW	\$308.9	\$130	\$195	\$286	-37%
QCOM	UW	\$220.8	\$94	\$146	\$199	-34%
QRVO	EW	\$101.3	\$40	\$84	\$110	-17%
SMTC	EW	\$174.3	\$95	\$175	\$230	0%
SWKS	EW	\$76.3	\$43	\$76	\$105	0%
<u>Analog / MCUs</u>						
ADI	OW	\$427.6	\$342	\$428	\$517	0%
ALGM	OW	\$55.0	\$43	\$51	\$70	-7%
MCHP	EW	\$100.3	\$69	\$94	\$118	-6%
NVTS	UW	\$23.7	\$4.9	\$13.7	\$22.7	-42%
NXPI	OW	\$315.9	\$268	\$335	\$400	6%
ON	EW	\$125.9	\$62	\$87	\$115	-31%
SLAB	EW	\$220.3	\$83	\$231	\$265	5%
TXN	UW	\$313.3	\$184	\$221	\$263	-29%
<u>Components</u>						
AEVA	EW	\$26.9	\$4.5	\$18.5	\$52.0	-31%
<u>Foundry</u>						
GFS	EW	\$84.0	\$34	\$58	\$96	-31%
AMKR	EW	\$85.4	\$49	\$69	\$88	-19%
<u>Quantum Computing</u>						
IONQ	EW	\$61.2	\$6	\$48.5	\$110	-21%

Source: FactSet, Morgan Stanley Research estimates

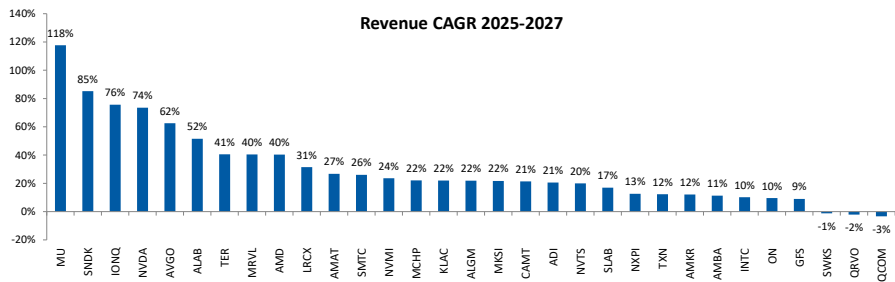
Exhibit 8: MS vs. Street

		CY2026e EPS			CY2026e Revenue			
		MS	Consensus	% Diff	MS	Consensus	% Diff	
OW	ADI	\$13.21	\$12.69	(4%)	ADI	\$15,499	\$15,069	(3%)
	ALAB	\$2.88	\$2.97	(8%)	ALAB	\$1,532	\$1,547	(1%)
	ALGM	\$0.93	\$0.87	10%	ALGM	\$1,048	\$1,017	2%
	AMBA	\$0.74	\$0.76	3%	AMBA	\$443	\$437	0%
	AVGO	\$13.68	\$12.88	(3%)	AVGO	\$123,943	\$116,422	0%
	KLAC	\$4.38	\$4.41	(1%)	KLAC	\$15,335	\$15,318	(0%)
	LRCX	\$7.00	\$6.86	(0%)	LRCX	\$27,067	\$26,945	(0%)
	MKSI	\$11.70	\$11.70	4%	MKSI	\$4,793	\$4,805	1%
	MU	\$81.93	\$77.74	45%	MU	\$144,942	\$137,846	18%
	NVDA	\$4.77	\$8.57	6%	NVDA	\$215,938	\$375,432	5%
EW	NXPI	\$14.96	\$14.71	4%	NXPI	\$14,138	\$14,042	1%
	SNDK	\$161.07	\$127.28	43%	SNDK	\$38,078	\$32,445	7%
	AEVA	-\$1.80	-\$1.69	2%	AEVA	\$33	\$32	(19%)
	AMAT	\$13.75	\$12.93	2%	AMAT	\$36,416	\$34,815	3%
	AMD	\$7.22	\$7.47	1%	AMD	\$48,807	\$49,876	(5%)
	AMKR	\$2.07	\$2.08	(8%)	AMKR	\$7,570	\$7,610	(4%)
	CAMT	\$3.56	\$3.50	10%	CAMT	\$577	\$571	5%
	GFS	\$1.94	\$1.89	(4%)	GFS	\$7,250	\$7,240	(1%)
	INTC	\$1.12	\$1.08	21%	INTC	\$58,131	\$58,498	0%
	IONQ	-\$0.54	-\$0.35	(109%)	IONQ	\$266	\$263	3%
	MCHP	\$2.71	\$2.78	(1%)	MCHP	\$5,769	\$5,811	2%
	MRVL	\$3.98	\$3.93	3%	MRVL	\$11,498	\$11,188	2%
	NVMI	\$10.12	\$10.47	1%	NVMI	\$1,057	\$1,064	4%
	ON	\$3.12	\$3.09	8%	ON	\$6,472	\$6,466	(0%)
	QRVO	\$6.31	\$6.89	(3%)	QRVO	\$3,346	\$3,503	(7%)
	SLAB	\$3.00	\$2.77	9%	SLAB	\$934	\$922	1%
UW	SMTC	\$2.72	\$2.58	(2%)	SMTC	\$1,375	\$1,331	0%
	SWKS	\$4.68	\$5.04	(4%)	SWKS	\$3,750	\$3,947	(3%)
	TER	\$8.03	\$7.37	0%	TER	\$4,748	\$4,518	2%
	NVTS	-\$0.17	-\$0.17	13%	NVTS	\$43	\$42	15%
	QCOM	\$9.39	\$10.69	(100%)	QCOM	\$40,152	\$42,599	(100%)
	TXN	\$7.82	\$7.71	(1%)	TXN	\$21,035	\$21,015	(1%)

Source: FactSet, Morgan Stanley Research estimates

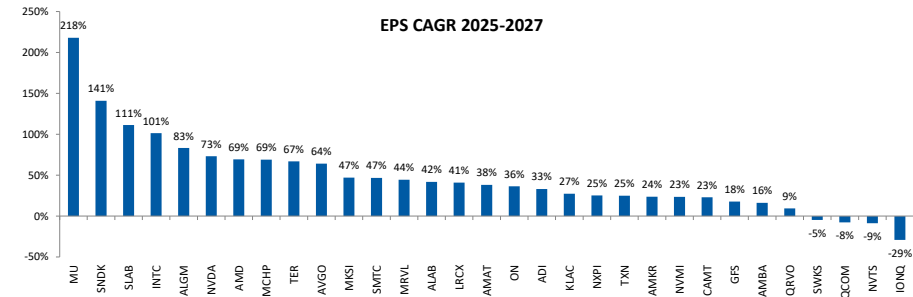
Revenue and EPS Growth

Exhibit 9: 2025-27e Revenue CAGR



Source: FactSet, Morgan Stanley estimates

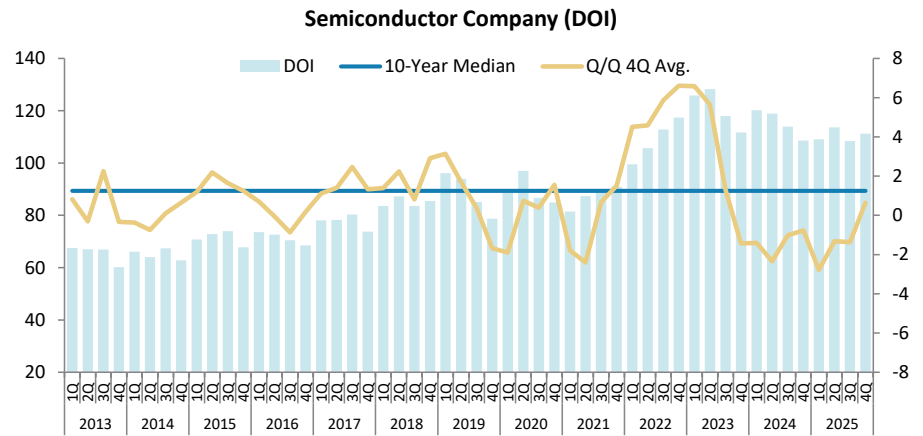
Exhibit 10: 2025-27e EPS CAGR



Source: FactSet, Morgan Stanley estimates

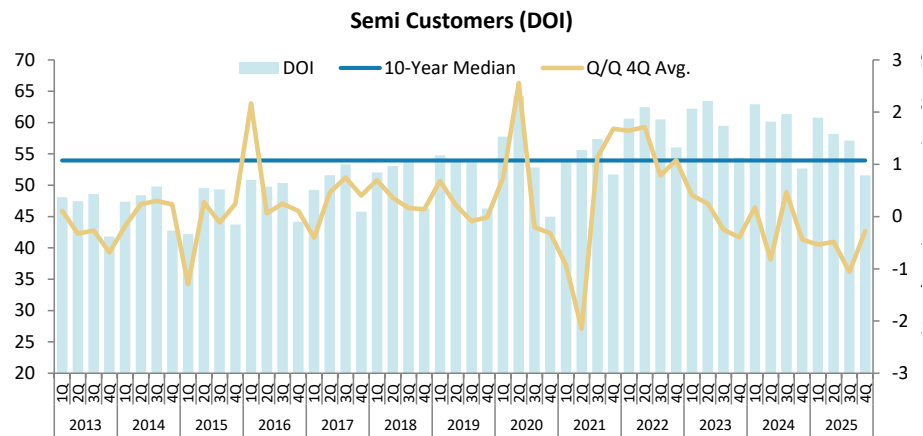
Inventory

Exhibit 11: Semiconductor Company inventory is at 111 days, up 3 days q/q which is 4 days behind of the seasonal decrease of 1 days. DOI is 22 days above the historical median and trailing 4-quarters slightly increased..



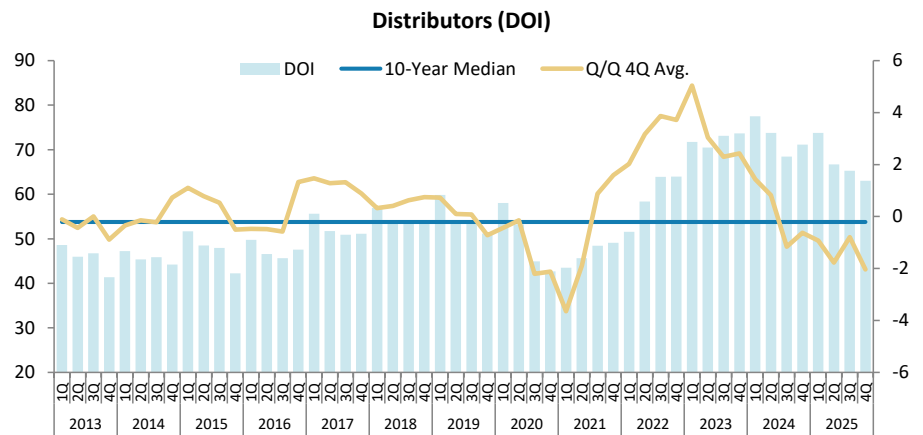
Source: FactSet, Morgan Stanley Research

Exhibit 12: Semi Customer DOI decreased 6 days sequentially to 52 days, below the seasonal decrease of 3 days. DOI is below the historical median and trailing 4 quarters increased from last quarter.



Source: FactSet, Morgan Stanley Research

Exhibit 13: Distributor inventory is at 63 days, down 2 days q/q, below the seasonal decline of 0 days. DOI is 9 days above the historical median while trailing 4-quarters decreased sequentially.



Source: FactSet, Morgan Stanley Research

Short Interest

Exhibit 14: Short Interest as % of Float

	15/Jun/25	16/Mar/26	15/Apr/26	16/May/26	15/Jun/26
ADI	1.5%	1.7%	2.0%	2.2%	1.9%
AEVA	5.8%	15.0%	13.3%	12.7%	11.5%
ALAB	6.2%	6.3%	9.0%	7.7%	6.9%
ALGM	7.0%	5.5%	6.4%	5.9%	6.4%
AMAT	2.1%	1.7%	1.6%	2.0%	2.5%
AMBA	3.4%	4.5%	4.8%	6.0%	5.1%
AMD	2.4%	2.1%	2.2%	2.2%	2.7%
AMKR	2.7%	3.4%	3.5%	3.0%	3.4%
AVGO	1.0%	1.0%	1.1%	1.1%	1.2%
CAMT	6.8%	6.8%	7.6%	6.6%	6.6%
GFS	1.7%	1.9%	3.1%	1.8%	1.4%
INTC	2.1%	2.4%	2.4%	2.8%	2.7%
IONQ	9.6%	23.0%	21.7%	22.4%	15.5%
KLAC	2.7%	2.3%	2.4%	2.4%	2.7%
LRCX	2.0%	2.1%	2.2%	2.3%	2.6%
MCHP	5.6%	4.0%	5.1%	5.5%	6.0%
MKSI	5.7%	5.7%	5.5%	5.3%	6.6%
MRVL	2.7%	3.7%	3.2%	3.2%	4.0%
MU	2.8%	2.6%	2.8%	3.3%	3.3%
NVDA	0.9%	1.0%	1.2%	1.2%	1.2%
NVMI	5.0%	4.2%	5.2%	4.8%	5.6%
NVTS	12.2%	18.8%	18.6%	17.9%	15.4%
NXPI	2.3%	3.6%	3.2%	2.6%	3.3%
ON	9.4%	8.2%	7.8%	7.4%	8.0%
QCOM	2.0%	3.6%	4.1%	4.7%	4.3%
QRVO	6.7%	7.6%	7.1%	6.7%	7.9%
SLAB	5.6%	5.1%	4.6%	5.7%	7.2%
SMTC	7.7%	5.0%	5.8%	6.7%	6.8%
SNDK	4.3%	5.8%	5.4%	7.3%	6.2%
SWKS	9.3%	14.3%	13.3%	15.1%	18.7%
TER	4.1%	2.9%	3.1%	3.5%	4.4%
TXN	2.1%	2.1%	2.0%	1.7%	2.1%
AVERAGE	4.6%	5.6%	5.7%	5.8%	5.8%
MEDIAN	4.1%	4.0%	4.6%	4.8%	5.1%

Source: FactSet, Morgan Stanley Research

Valuation Methodology and Risks

Cerebras Systems (CBRS.O)

12x multiple on our 2028 adjusted revenue of \$6bn. We comp Cerebras to AI semis cohort and 12x is in-line with with smid cap AI names with near 100% AI exposure that are outgrowing the overall market.

Risks to Upside

- Contract Extension
- Additional customer
- Capacity deployment

Risks to Downside

- Capacity deployment/infrastructure risk
- Customer concentration risk
- Competitive risk

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Shane Brett; Nicole Kozhukhov; Joseph Moore; Ella Tulchinsky; Mason Wayne.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of May 29, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Advanced Micro Devices, Aeva Technologies Inc, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc, Arm Holdings plc, Astera Labs Inc, Broadcom Inc, Cadence Design Systems Inc, Cerebras Systems, Intel Corporation, IonQ Inc, Marvell Technology Group Ltd, Microchip Technology Inc, Micron Technology Inc, NVIDIA Corp, NXP Semiconductor NV, ON Semiconductor Corp, Qorvo Inc, Qualcomm Inc, SanDisk Corporation, Semtech Corp, Silicon Laboratories Inc, Skyworks Solutions Inc, Synopsys Inc, Texas Instruments, Wolfspeed, INC.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Aeva Technologies Inc, Broadcom Inc, Cerebras Systems, GlobalFoundries Inc, Intel Corporation, NVIDIA Corp, NXP Semiconductor NV, ON Semiconductor Corp, Semtech Corp.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Amkor Technology Inc, Broadcom Inc, Cerebras Systems, Intel Corporation, IonQ Inc, Micron Technology Inc, NVIDIA Corp, NXP Semiconductor NV, ON Semiconductor Corp, Semtech Corp, Texas Instruments.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc, Arm Holdings plc, Astera Labs Inc, Broadcom Inc, Cadence Design Systems Inc, Cerebras Systems, GlobalFoundries Inc, Intel Corporation, IonQ Inc, Marvell Technology Group Ltd, Microchip Technology Inc, Micron Technology Inc, Navitas Semiconductor Corp, NVIDIA Corp, NXP Semiconductor NV, ON Semiconductor Corp, Qualcomm Inc, SanDisk Corporation, Semtech Corp, Silicon Laboratories Inc, Skyworks Solutions Inc, Synopsys Inc, Texas Instruments, Wolfspeed, INC.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Advanced Micro Devices, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc, Broadcom Inc, Cadence Design Systems Inc, GlobalFoundries Inc, Intel Corporation, Marvell Technology Group Ltd, Microchip Technology Inc, Micron Technology Inc, NVIDIA Corp, NXP Semiconductor NV, ON Semiconductor Corp, Qualcomm Inc, Silicon Laboratories Inc, Synopsys Inc, Texas Instruments.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc, Arm Holdings plc, Astera Labs Inc, Broadcom Inc, Cadence Design Systems Inc, Cerebras Systems, GlobalFoundries Inc, Intel Corporation, IonQ Inc, Marvell Technology Group Ltd, Microchip Technology Inc, Micron Technology Inc, Navitas Semiconductor Corp, NVIDIA Corp, NXP Semiconductor NV, ON Semiconductor Corp, Qualcomm Inc, SanDisk Corporation, Semtech Corp, Silicon Laboratories Inc, Skyworks Solutions Inc, Synopsys Inc, Texas Instruments, Wolfspeed, INC.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Advanced Micro Devices, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc, Broadcom Inc, Cadence Design Systems Inc, GlobalFoundries Inc, Intel Corporation, IonQ Inc, Marvell Technology Group Ltd, Microchip Technology Inc, Micron Technology Inc, NVIDIA Corp, NXP Semiconductor NV, ON Semiconductor Corp, Qualcomm Inc, Semtech Corp, Silicon Laboratories Inc, Synopsys Inc, Texas Instruments, Wolfspeed, INC.

Morgan Stanley & Co. LLC makes a market in the securities of Aeva Technologies Inc, Ambarella Inc, Cerebras Systems, Silicon Laboratories Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

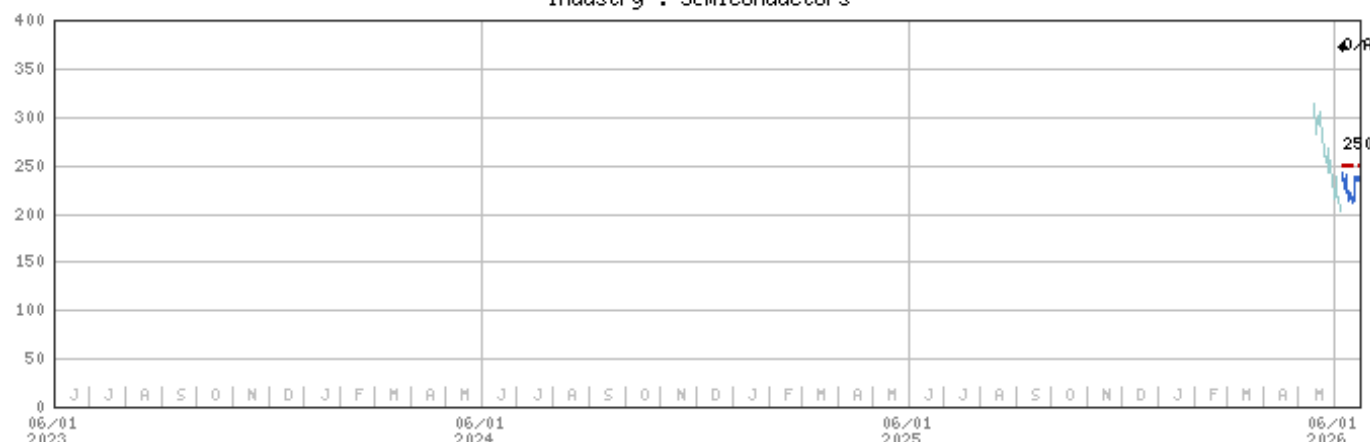
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Cerebras Systems (CBRS.O) - As of 06/22/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 6/8/26 : 0/A

Price Target History: 6/8/26 : 250

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

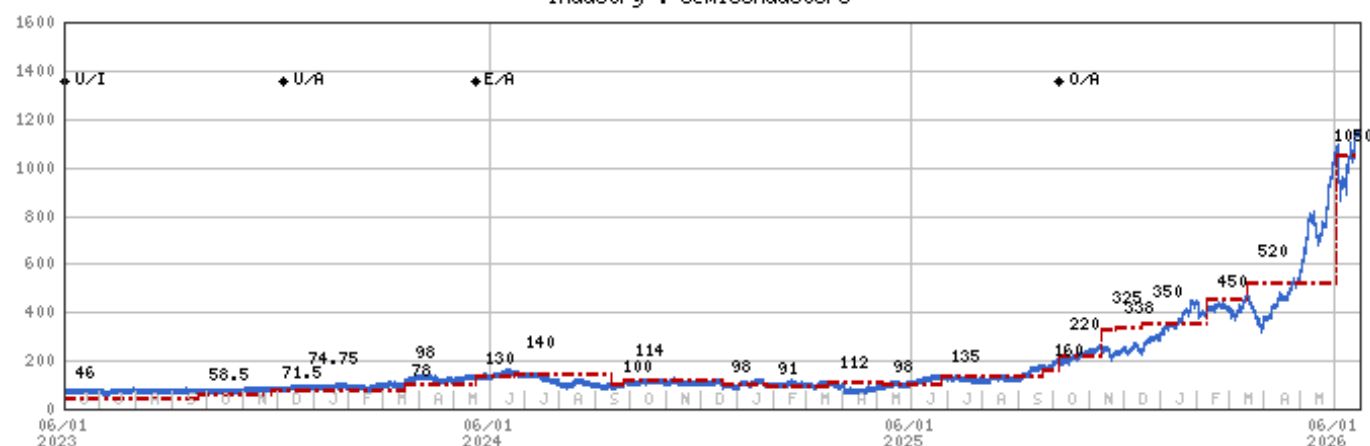
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Micron Technology Inc. (MU.O) - As of 06/22/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 6/1/21 : 0/I; 8/12/21 : E/I; 7/21/22 : U/I; 12/7/23 : U/A; 5/20/24 : E/A; 10/6/25 : 0/A

Price Target History: 3/1/21 : 105; 8/12/21 : 75; 12/20/21 : 77; 3/29/22 : 83; 6/21/22 : 56; 9/30/22 : 49; 12/21/22 : 46; 9/24/23 : 58.5; 11/27/23 : 71.5; 12/20/23 : 74.75; 3/18/24 : 78; 3/21/24 : 98; 5/20/24 : 130; 6/23/24 : 140; 9/15/24 : 100; 9/26/24 : 114; 12/19/24 : 98; 1/27/25 : 91; 3/21/25 : 112; 5/7/25 : 98; 6/26/25 : 135; 9/22/25 : 160; 10/6/25 : 220; 11/12/25 : 325; 11/23/25 : 338; 12/17/25 : 350; 2/10/26 : 450; 3/18/26 : 520; 6/2/26 : 1050

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Micron Technology Inc., NVIDIA Corp.. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the

appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/18/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$537.37

Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$24.39
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$59.00
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$69.97
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$90.46
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$434.46
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$417.07
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$411.35
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$234.71
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$85.83
Intel Corporation (INTC.O)	E (02/22/2023)	\$133.99
IonQ Inc (IONQ.N)	E (04/25/2023)	\$56.55
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$310.58
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$99.77
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$1,133.99
Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	\$24.02
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$210.69
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$313.27
ON Semiconductor Corp. (ON.O)	E (05/11/2025)	\$121.62
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$98.42
Qualcomm Inc. (QCOM.O)	U (02/10/2026)	\$226.11
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$2,184.75
Semtech Corp. (SMT.C.O)	E (04/06/2025)	\$158.23
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$219.75
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$72.45
Texas Instruments (TXN.O)	U (04/13/2020)	\$322.86
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$57.41
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$439.46
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$387.39
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$455.51

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.